

AML/CFT and Targeted Financial Sanctions Procedure

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This procedure establishes the operational framework for Anti-Money Laundering, Countering Financing of Terrorism (AML/CFT), and Targeted Financial Sanctions (TFS) compliance across AEON Credit Service (M) Berhad. It details mandatory Customer Due Diligence (CDD), Enhanced Due Diligence (EDD) escalation triggers, automated sanctions screening protocols, and internal Suspicious Transaction Report (STR) handling mechanisms pursuant to Bank Negara Malaysia regulatory standards.

1.0 — Purpose and Regulatory Scope

This procedure sets forth standard operating controls to detect, prevent, and mitigate money laundering, terrorism financing, and proliferation financing risks across all operations of AEON Credit Service (M) Berhad. It applies to all onboarding channels and lifecycle monitoring for retail financing facilities, credit card products (Classic, Gold, Platinum Visa), and Islamic hire purchase arrangements. Compliance with the Anti-Money Laundering, Anti-Terrorism Financing and Proceeds of Unlawful Activities Act 2001 (AMLA) and applicable Bank Negara Malaysia (BNM) policy documents is mandatory for all operating divisions.

2.0 — Standard Customer Due Diligence (CDD)

Customer Due Diligence must be executed prior to onboarding, credit facility activation, or card issuance. Verification for individual Malaysian citizens requires visual and cryptographic inspection of the original MyKad alongside automated biometric facial match or MyKad chip fingerprint verification. Residential address, source of wealth, and ongoing employment must be verified using utility bills, official salary slips, or statutory EPF statements. Non-individual entities must undergo full corporate profiling, establishing legal registration, business operations, and the ultimate beneficial ownership (UBO) holding 25% or more equity interest.

3.0 — Enhanced Due Diligence (EDD) Triggers

Enhanced Due Diligence is mandatorily triggered where an applicant: (a) is identified as a foreign or domestic Politically Exposed Person (PEP), or an immediate family member or close associate thereof; (b) originates from or maintains financial exposure connected to high-risk jurisdictions identified by the Financial Action Task Force (FATF); (c) applies for individual financing aggregating RM 100,000 or above without standard formal payroll documentation; or (d) exhibits adverse media indicators related to financial crime, fraud, or predicate offences. EDD entails obtaining documented Senior Management approval, establishing verifiable source of wealth, and conducting intensified transaction surveillance.

4.0 — Targeted Financial Sanctions (TFS) Screening

Real-time automated sanctions screening must be performed against all applicants, authorized signatories, and beneficial owners prior to entering into any commercial relationship. Screening lists incorporate the United Nations Security Council Resolutions (UNSCR) consolidated sanctions database and domestic lists gazetted by the Ministry of Home Affairs (MOHA) under the relevant United Nations sanctions implementation regulations. If a confirmed match is identified, the application must be declined immediately without tipping off the applicant, funds or accounts frozen without delay, and an immediate statutory report lodged with the Financial Intelligence and Enforcement Department (FIED) of BNM.

5.0 — Suspicious Transaction Report (STR) Workflow

Any front-line officer, underwriter, or collections personnel detecting transactions or behavioral patterns lacking economic rationale, inconsistent with customer profiles, or indicating potential illicit proceeds must escalate an Internal Suspicious Report to the Compliance Division within 24 hours. The Money Laundering Reporting Officer (MLRO) shall investigate the report independently. Where reasonable grounds for suspicion exist, the MLRO must file a formal Suspicious Transaction Report (STR) with BNM FIED via the online FIIMS portal within the prescribed statutory deadline. Strict anti-tipping-off provisions apply under Section 14A of AMLA; staff must not disclose STR

deliberations to the customer or any unauthorized party.

6.0 — Ongoing Customer Monitoring and Record Retention

Customer profiles must undergo ongoing transaction monitoring to identify deviations from established transactional patterns, including sudden early loan settlements via non-verifiable third-party cash payments or unusual revolving credit balances. Customer risk ratings must be reviewed periodically: Low Risk profiles every 36 months, Medium Risk profiles every 24 months, and High Risk profiles at least annually. In accordance with AMLA statutory retention mandates, all CDD records, facility application files, transaction slips, and STR documentation must be securely retained for a minimum of seven (7) years following account termination or transaction execution.

7.0 — Compliance Oversight, Training, and Independent Audit

The Compliance Division oversees the implementation, parameter tuning, and daily reporting of the AML/CFT screening architecture. All customer-facing and credit processing employees must complete AML/CFT and Sanctions refresher training annually. Independent review of AML/CFT controls shall be conducted at least once every two years by Internal Audit to assess rule effectiveness, sanctions filter calibrations, and procedural compliance, presenting findings directly to the Board Audit Committee.

Schedule / Reference Table

Customer Risk Category	Applicable Customer Profile	Due Diligence Level	Screening Frequency	Approval Authority
Low Risk	Salaried retail borrowers with low financing amount (< RM 30,000)	Standard CDD	Annual batch screening	Branch / Underwriting Officer
Medium Risk	Standard retail credit card / financing applicants (RM 30,000 to RM 100,000)	Standard CDD with source of funds check	Semi-annual batch screening	Credit Underwriting Manager
High Risk - PEP	Domestic or Foreign Politically Exposed Persons and their close associates	Enhanced Due Diligence (EDD)	Real-time daily screening	Head of Compliance / MLRO
High Risk - High Volume / Facility	Facilities exceeding RM 100,000 or complex non-standard income sources	Enhanced Due Diligence (EDD)	Monthly screening	Chief Risk Officer / MLRO
Prohibited / Sanctioned	Matches to UNSCR or Ministry of Home Affairs (MOHA) TFS sanctions lists	Immediate Rejection and Asset Freeze	Immediate real-time alert trigger	Board / Head of Compliance & BNM Notification